investments and expenditure. We have to learn to think with our emotions rather than have our emotions do the thinking. Understanding our own anomalies as also that of others will help us become better investors. In the next four chapters we will learn how to use our emotions to our benefit.

Why is Investing so Difficult

The most difficult part of investing, is understanding the behaviour of the stock markets. Market fluctuations are based on the varied opinions expressed by its participants, which in turn are subject to change commensurate with the changing sentiments of people. It's the crowd behaviour that dominates the decision-making and is responsible for the sudden changes in the sentiments. Take for instance the black Monday in May 2004. The markets lost around 700 points when the elections brought the Congress to power. What precipitated this huge fall? Had anything gone drastically wrong with the performance of the companies whose stock prices crashed? Definitely not. But the sentiment changed. The BJP being voted out of power was a big change and normally we do not like changes. Hence there was gloom all around and people dumped stocks as though there was no future. The herd mentality was at work and the markets crashed as each one wanted to get out faster than his neighbour. If you were emotionally strong and you had bought when the others were panicking, you would have ended making a huge fortune. But this seems easy only in hindsight. At that point of time to go against the crowd is the most difficult but the most sensible thing to do. Understanding behavioural science is the key to success in the financial markets. Its application not only helps you control your emotions but also helps you to understand other's emotions and benefit from their mistakes.

Reference

1. Charles D. Ellis, *Investor's Anthology*, address to the Empire Club in Toronto, 1998.